

trustees by its own inherent jurisdiction, to invest such trustees with that arbitrary power. But in a trust for *sale an authority to sign receipts is not a mere [*472] power, but enters into the substance of the trust; that is, it is so interwoven with the trust itself that there can be no execution of the trust without the accession of the power; and in such cases the appointment of new trustees by the Court may be taken to have included the power. Thus, suppose A. and B. are trustees of an estate to sell for payment of debts, and on the death of A. and B. the Court appoints C. and D. upon the like trusts; if C. and D. cannot sign receipts, they cannot sell, and their appointment as trustees is nugatory (*a*). [But now, by recent Acts (*b*), trustees appointed by the Court have "the same powers, authorities, and discretions, and may in all respects act" as if originally appointed by the instrument creating the trust.]

21. **Receipt after a breach of trust.** — It sometimes happens that the trustees *had* clearly at first a power of signing receipts, but subsequently, by a *breach of trust* or some irregularity in the administration of the estate, the fund has got out of its proper channel, and then the question arises, whether, if the person who ought never to have had possession of the fund intend to restore it to its proper state, the trustees can sign a receipt. It may be said that as the power never contemplated a breach of trust, it would not be safe to consider the exercise of the power as an indemnity, if the money cannot be properly paid to the trustees upon any other ground: on the other hand, if the fund be reinstated *in specie*, so that it is standing in the exact form in which the trust required it, and in the names of the persons whom the settlement appointed the trustees, how can it be said that in such a state of things any liability can remain? (*c*).

(*a*) See *Drayson v. Pocock*, 4 Sim. 283; *Byam v. Byam*, 19 Beav. 58; *Bartley v. Bartley*, 3 Drew. 385; *Lord v. Bunn*, 2 Y. & C. C. C. 98. As to the powers generally of trustees appointed by the Court, see *post*, ch. xxiii. s. 2.

[(*b*) 23 & 24 Vict. c. 145, s. 27;

since repealed and its place supplied by 44 & 45 Vict. c. 41, s. 33; and see *post*, ch. xxiii. s. 2.]

(*c*) See *Lander v. Weston*, 3 Drew. 389; *Hanson v. Beverley*, Sugd. Vend. & Purch. 848, 11th ed. In *Carver v. Richards*, A. & B. were trustees of Mrs. Warren's settlement, dated 31st